

Q1 2026 Market Report

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Review Period: January 1 – March 31, 2026

Executive Summary

The first quarter of 2026 delivered mixed results across global markets. US equities gained modestly while fixed income faced continued pressure from persistent inflation and Federal Reserve uncertainty.

Key highlights:

- S&P 500 returned +4.1% for the quarter
- NASDAQ Composite gained +5.8%
- 10-Year Treasury yield rose to 4.45%
- Gold surged +9.3% to \$2,340/oz on safe-haven demand

Equity Market Overview — Q1 2026

US Large Cap Performance

The S&P 500 index closed Q1 at 5,410.20, supported by resilient corporate earnings and strong labor market data.

Sector Breakdown (Q1 Returns):

Technology:	+8.2%
Healthcare:	+5.4%
Financials:	+4.6%
Consumer Disc.:	+3.1%
Industrials:	+2.8%
Utilities:	+1.5%
Real Estate:	-0.4%
Materials:	-1.2%
Consumer Staples:	+0.6%
Energy:	+2.3%

Fixed Income & Rates — Q1 2026

Treasury Yields

The yield curve remained inverted through Q1, with the 2Y-10Y spread at -25bps as markets priced in a delayed rate-cutting cycle.

Key Rates (End of Q1):

Fed Funds Rate: 5.00%

2-Year Treasury: 4.70%

10-Year Treasury: 4.45%

30-Year Treasury: 4.62%

Total returns for the quarter:

US Aggregate Bond: -0.3%

Investment Grade: +0.2%

High Yield: +1.8%

Commodities & FX — Q1 2026

Commodity Markets

Gold was the standout performer in Q1, driven by central bank buying and geopolitical uncertainty. Oil prices firmed on OPEC+ discipline.

Select Commodity Performance:

Gold:	+9.3%
Silver:	+6.1%
Copper:	+2.8%
WTI Crude:	+3.5%
Natural Gas:	-8.4%

Foreign Exchange:

EUR/USD:	1.0680 (-1.2%)
USD/JPY:	151.80 (+2.4%)
GBP/USD:	1.2610 (-0.8%)
DXY Index:	105.40 (+1.3%)

Q1 Outlook Summary

Looking Ahead to Q2 2026

We see several catalysts and risks heading into Q2:

1. Fed rate decision in May — markets pricing 40% chance of a 25bps cut
2. Q1 earnings season begins mid-April
3. European elections may impact EUR volatility
4. China stimulus measures could lift EM sentiment

Positioning Recommendations:

- Maintain slight equity overweight
- Extend fixed income duration modestly
- Hold gold allocation as portfolio hedge
- Monitor energy for tactical opportunities

Disclaimer: This report is for informational purposes only and does not constitute investment advice.